

SHEL: Shell plc

A Balanced Energy Transition · Top-Quintile Quantitative Metrics · Value & Growth Blend

NTM P/E	Fwd 2-Yr EPS CAGR	Net Debt/EBITDA 2026E	LTM ROIC
7.93x	23.8%	0.58x	11.7%
Next Twelve Months	2-Year Forward	Improving structure	Trailing 12 Months

CORE ALLOCATION: THE QUANTITATIVE VALUE & GROWTH BLEND

Shell plc (SHEL) represents a rare, highly compelling blend of profitability and reasonable pricing, firmly placing it in the **top 20% of our European Universe**. Operating across integrated gas, upstream, renewables, and marketing, Shell successfully balances legacy cash flows with a low-carbon transition. Supported by deep momentum and exceptional efficiency, our models highlight SHEL as a high-conviction **GARP (Growth at a Reasonable Price)** idea.

Value Score	Growth Score	LTM P/BV	FCF Margin 2026E
66/100	71/100	1.36x	9.5%
Top 20% in EU universe	Top 20% in EU universe	Attractive book value	Robust cash generation

1 · Structural Growth & Profitability Rebound

Shell is projecting a massive top-and-bottom-line acceleration, shaking off historical cyclicality to deliver superior forward growth.

- **Top-Line Momentum:** After a negative historical 3-year Revenue CAGR of (11.2%), forward estimates indicate a sharp reversal with a projected **Fwd 2-Yr Revenue CAGR of 6.1%**. For 2026, revenue is expected to surge by a staggering **+25.0% YoY**.
- **Operating Leverage:** EBITDA expected to grow by **+31.4% YoY** in 2026, driving EBITDA margins up to **22.1%**. EBIT margins projected to reach **15.3%** as EBIT scales by **+50.4% YoY**.
- **Earnings Inflection:** Normalised EPS expected to surge by **+72.9% YoY** in 2026, underpinning an exceptional **Fwd 2-Yr EPS CAGR of 23.8%** — vastly outperforming sector averages.

2 · Sector-Specific Quality & Capital Efficiency

In the capital-intensive energy sector, efficient allocation and cash generation are the ultimate indicators of quality. Shell screens exceptionally well on these metrics.

- **Robust Returns on Capital:** LTM ROIC of **11.7%** and LTM ROCE of **10.7%**. Return on Equity (ROE) forecast to improve from 10.7% LTM to **16.78%** by 2026.
- **Free Cash Flow Generation:** A cash engine — expecting a **+22.0% YoY** increase in Free Cash Flow for 2026, converting to a very healthy **9.5% FCF Margin**.
- **De-risked Balance Sheet:** LTM Net Debt/EBITDA at a comfortable **0.96x**, improving further to an ultra-lean **0.58x in 2026E** — disciplined leverage at the bottom of the cycle.

3 · Valuation & Market Momentum

A Value Score of 66/100 and a Growth Score of 71/100 — both in the top 20% of the European universe — indicate the market is beginning to reward Shell's operational improvements without pushing multiples into overvalued territory.

■ **Deep Value Multiples:** Trading at a significant discount with an **NTM P/E of just 7.93x** and an LTM P/E of 13.11x. LTM P/BV of **1.36x** provides a comfortable margin of safety.

■ **Strong Price Momentum:** **+27.7% price return** over the last 12 months — signalling strong institutional accumulation.

■ **Shareholder Yield:** **3.7% Dividend Yield** secured by a highly sustainable 44.8% payout ratio — investors are rewarded while they wait.

The Bottom Line

Shell plc offers a highly attractive, de-risked profile for institutional portfolios. Sitting comfortably in the top 20% of our European Universe, it couples deep-value pricing (NTM P/E of 7.93x) with aggressive forward momentum (Fwd 2-Yr EPS CAGR of 23.8%). Supported by an improving balance sheet, an 11.7% ROIC, and strong cash generation, SHEL is a structurally sound core holding positioned to win in both legacy energy cycles and the broader low-carbon transition.

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